trading), and expected future price (based on actual market conditions and specified trading strategy).

Cash Balancing. In times of trading investors often select cash balancing adaptation techniques. The most common variations of cash balancing are risk management and self-financing. Risk management adaptation techniques will manage the unexecuted positions to keep the risk within a specified tolerance level. Self-financing adaptation techniques are used when the sells will be used to pay for the buys. Here we are managing the shares that have already traded, and depending upon market prices and movement, may require the unexecuted buy shares to be revised (either increasing or decreasing) depending on actual prices.

Dark Pool Utilization. Investors may elect to use dark pools in a different manner than the displayed venues. For example, investors may choose to try to maximize trading in dark pools but keep trading in the displayed markets at a different rate. Furthermore, the participation in dark pools and displayed venues may also be determined by stock prices or market movement.

Micro-Level Decisions

The micro-level pricing decisions, as stated above, consist of the order submission rules. The actual decision models are embedded directly into the trading algorithms and utilize limit order models and smart order routers. These decision points are not entered by the user directly as with the macro decisions, but the algorithms and decision path are to ensure that executions adhere to the higher level macro goals entered by the investor. The goal of a micro-level scheme is threefold. First, to ensure the executions follow the optimally prescribed strategy entered by the user. Second, to ensure that the algorithms deviate from the optimally prescribed strategy only when it is in the best interest of and defined by the investor. Third, to achieve fair and reasonable prices without incurring unnecessary market impact cost. In situations where the fixed costs and exchange costs are high, optimizing, crossing, and micromanagement on each exchange can also lead to substantial cost savings.

It is essential that the micro pricing strategy ensures consistency with the macro-level objective and ensures transactions adhere to the specified implementation goal. For example, it would not be in the best interest of the fund to execute an aggressive strategy (e.g., POV = 40%) using solely limit orders, because execution with limit orders is not guaranteed execution and there is a high likelihood that this type of strategy may fall behind the targeted rate. But it would be appropriate to transact a passive